Aberdeen Harbour (Superannuation) Order Confirmation Act, 1957

5 & 6 ELIZ. 2 **Ch. xii**

ARRANGEMENT OF SECTIONS

CHAPTER xii

An Act to confirm a Provisional Order under the Private Legislation Procedure (Scotland) Act 1936 relating to Aberdeen Harbour (Superannuation).

[17th July 1957.]

WHEREAS the Provisional Order set forth in the schedule hereunto annexed has been made by the Secretary of State under the provisions of the Private Legislation Procedure (Scotland) Act 1936 and it is requisite that the said Order should be confirmed by Parliament:

26 Geo. 5 & 1 Edw. viii c. 52

Be it therefore enacted by the Queen's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

Confirmation of Order in schedule.

1. The Provisional Order contained in the schedule hereunto annexed is hereby confirmed.

Short title.

2. This Act may be cited as the Aberdeen Harbour (Superannuation) Order Confirmation Act 1957.

SCHEDULE

ABERDEEN HARBOUR (SUPERANNUATION)

Provisional Order to amend the provisions of the Aberdeen Harbour (Superannuation) Order 1939 *and for other purposes.*

WHEREAS by the Aberdeen Harbour (Superannuation) Order 1939 (hereinafter referred to as "the Order of 1939") the Aberdeen Harbour Commissioners (hereinafter referred to as "the Commissioners") were authorised to establish and maintain a superannuation fund and to pay superannuation retiring and other allowances to their permanent officers and servants and in certain cases to their wives and to make contributions to such fund:

And whereas it is expedient that the Order of 1939 should be amended as provided in this Order so as to secure alternative or further and other benefits to the persons entitled to superannuation thereunder and to the dependants of such persons:

And whereas it is expedient that the powers contained in this Order with respect to the investment of the funds held by the Commissioners for the purposes aforesaid should be conferred on the Commissioners:

And whereas the purposes aforesaid cannot be effected without an Order confirmed by Parliament under the Private Legislation Procedure (Scotland) Act 1936:

Now therefore in pursuance of the powers contained in the last-mentioned Act the Secretary of State orders as follows:—

Short title and citations.

1.—(1) This Order may be cited as the Aberdeen Harbour (Superannuation) Order 1957.

(2) This Order and the Aberdeen Harbour (Superannuation) Order 1939 may be cited together as the Aberdeen Harbour (Superannuation) Orders 1939 and 1957.

(3) This Order and the Aberdeen Harbour Acts 1895 to 1956 may be cited together as the Aberdeen Harbour Acts 1895 to 1957.

Interpretation.

2. In this Order the following words and expressions shall unless there be something in the subject or context repugnant to such construction have the meanings hereby assigned to them (that is to say):—

"Commissioners" means the Aberdeen Harbour Commissioners;

"date of commencement" means the date when this Order is confirmed by Parliament;

"former rules" means the rules set forth in the schedule to the Order of 1939 as modified by the National Insurance (Modification of the Aberdeen Harbour Superannuation Scheme) Regulations 1948 and in force immediately before the date of commencement;

"fund" means the superannuation fund authorised to be established and maintained by the Commissioners under the provisions of the Order of 1939 and all moneys belonging thereto;

"lump sum fund" means the lump sum fund established and maintained under this Order and all moneys belonging thereto;

"member" means every officer and servant of the Commissioners within the meaning of Rule 3 of the Rules;

"Order of 1939" means the Aberdeen Harbour (Superannuation) Order 1939;

"pension fund" means on and after the date of commencement the fund as amended by this Order and all moneys belonging thereto;

"rules" means the rules set forth in the schedule to this Order;

"scheme" means the scheme of the fund or of the pension fund and the lump sum fund as the case may be.

3.—(1) On and after the date of commencement the fund shall become and be known as the pension fund and shall be maintained by the Commissioners for the payment of superannuation and other benefits on retirement discharge or otherwise to their officers and servants and in the event of the death of any of such officers and servants to the widows or to the relatives or dependants of such officers and servants and in certain cases if the Commissioners should deem it expedient to the wives of such officers and servants all in accordance with and as provided by the rules. Pension fund and lump sum fund.

(2) On the date of commencement the Commissioners shall establish and thereafter maintain a fund to be known as "the lump sum fund" for the payment of lump sum grants on retirement to their officers and servants all in accordance with and as provided by the rules.

4. Subject as hereinafter provided in this Order on the date of commencement the schedule to the Order of 1939 shall be and is hereby repealed and the schedule to this Order shall be substituted therefor and the schedule to this Order shall accordingly be incorporated in the Order of 1939 as the schedule thereto and the Aberdeen Harbour Acts 1895 to 1956 shall subject to the provisions of this Order be read and construed accordingly. Rules.

5. Notwithstanding the provisions of section 4 (Rules) of this Order an officer or servant in the employment of the Commissioners at the date of commencement may within three months thereof give notice in writing to the Commissioners that he elects to retain the benefits to which he is entitled under the former rules and in the event of any officer or servant so electing the former rules so far as relating to the contributions to be paid by him and by the Commissioners and the benefits to which he is entitled shall continue to apply to such officer or servant as if this Order had not been made and the rules shall not apply to such officer or servant: As to choice of benefits.

Provided that—

(1) as respects every officer or servant who elects as aforesaid the Commissioners shall in each year contribute to the pension fund the whole of the sum which in accordance with Rule 4 (*b*) of the former rules they are required to contribute in respect of such officer or servant; and

(2) payments by the Commissioners in respect of benefits to which any such officer or servant is entitled as aforesaid shall be made out of the pension fund.

As to existing pensioners.

6.—(1) Save as provided in subsection (2) of this section and notwithstanding anything in this Order the Commissioners shall continue to pay to or for the benefit of any member of the fund who was entitled to a superannuation allowance under the provisions of the Order of 1939 and the former rules immediately before the date of commencement the superannuation allowance to which such member was entitled as aforesaid and the former rules shall so far as applicable continue to apply to such member and to the Commissioners in respect of such member.

(2) A member of the fund who has retired from the service of the Commissioners not more than twelve months before the date of commencement or (in the event of the death of such member before the date of commencement or within three months thereafter) the widow or (if there is not a widow) the legal personal representative of such member may within three months of the date of commencement give notice in writing to the Commissioners that such member or (as the case may be) his widow or legal personal representative elects to receive in place of the superannuation allowance payable to or in respect of such member under the provisions of the Order of 1939 and the former rules the benefits which would have been payable to or in respect of such member if the Act confirming this Order had been passed and if the rules had been in operation at the date of the retirement of such member from the service of the Commissioners and in the event of any such member or (as the case may be) his widow or legal personal representative electing as aforesaid the rules shall so far as applicable apply to such member or (as the case may be) to his widow or legal personal representative in respect of such member and to the Commissioners in respect of such member and shall be deemed so to have applied as from the date of retirement of such member:

Provided that in determining the benefits payable to or in respect of such member in accordance with the rules as so applied account shall be taken of the amount of the superannuation allowance previously paid to or in respect of such member.

Rules to be sent to officers and servants.

7.—(1) The Commissioners shall send or deliver a copy of the rules—

(*a*) as soon as may be after the date of commencement to—

(i) every officer and servant qualified under the rules to be a member; and

(ii) every former officer or servant or (as the case may be) the widow or legal personal representative of every such former officer or servant entitled under the provisions of section 6 (As to existing pensioners) of this Order to elect as provided in that section; and

(*b*) at the time of his engagement to every officer or servant who enters the permanent employment of the Commissioners after the date of commencement.

(2) Section 5 (Rules to be sent to officers and servants) of the Order of 1939 is hereby repealed.

Investment of pension fund and lump sum fund.

8.—(1) If any moneys forming part of the pension fund or the lump sum fund are not for the time being required to meet payments to be made out of the pension fund or the lump sum fund as the case may be the Commissioners shall invest such moneys in all or any of the following investments securities or obligations (that is to say):—

(*a*) investments in which trustees are authorised to invest trust funds according to the law of Scotland or the law of England for the time being;

(*b*) the public stocks or funds or government securities of any part of Her Majesty's dominions or of the territories under Her protection or the United States of America;

(*c*) the deposit receipts bonds debentures debenture or loan stock whether convertible or not mortgages or securities of any corporation company or body whether municipal railway public utility commercial industrial investment trust mortgage insurance banking or otherwise registered or incorporated in the United Kingdom of Great Britain and Northern Ireland or any part of Her Majesty's dominions or of the territories under Her protection or the United States of America or in or upon the guaranteed lien preference or preferred or ordinary or deferred or common stocks or shares of or upon any securities whatsoever issued or guaranteed by any such corporation company or body and in the case of banks and insurance companies whether or not there is liability for calls or other payments:

Provided that—

(*a*) investment in the ordinary stocks or shares of any corporation company or body shall not be made under the powers of paragraph (*c*) of this subsection—

(i) unless the corporation company or body has paid interest or dividends thereon (as the case may be) at the rate of at least five per centum per annum for not less than four years before the date of investment; and

(ii) unless such ordinary stocks or shares (as the case may be) are quoted on the London Stock Exchange; and

(*b*) the total value of all the investments in such ordinary stocks and shares made under the said paragraph (*c*) shall not at any time exceed one-quarter of the total value of the assets of the pension fund and the lump sum fund.

(2) The Commissioners shall carry and credit to the pension fund and to the lump sum fund respectively each year all dividends and interest arising out of the investment of the pension fund and of the lump sum fund as the case may be.

(3) Section 8 (Investment of fund) of the Order of 1939 is hereby repealed.

Saving for National Insurance (Modification of the Aberdeen Harbour Superannuation Scheme) Regulations 1948.

9. Nothing contained in this Order shall affect the operation of the National Insurance (Modification of the Aberdeen Harbour Superannuation Scheme) Regulations 1948 and the said Regulations shall with any necessary modifications apply to the scheme accordingly.

Amendment of Order of 1939.

10. On and after the date of commencement—

(*a*) section 4 (Fund to be vested in Commissioners) of the Order of 1939 shall be read and have effect as if in subsection (1) thereof for the word "fund" there were substituted the words "pension fund and the lump sum fund" and as if in subsection (2) thereof for the word "fund" there were substituted the word "scheme";

(*b*) section 6 (Officers and servants to contribute to fund) of the Order of 1939 shall be read and have effect as if for the word "fund" where first occurring there were substituted the word "scheme" and as if for the word "fund" where secondly occurring there were substituted the words "pension fund" and as if the words "in the employment of the Commissioners either at the date of the passing of the Act confirming this Order or thereafter" were omitted therefrom;

(*c*) section 7 (Commissioners to contribute to fund) of the Order of 1939 shall be read and have effect as if for the word "fund" there were substituted the words "pension fund and the lump sum fund".

Amendment of section 92 of Aberdeen Harbour Act 1895.

58 & 59 Vict. c. cxxxvi

11.—(1) Section 92 (Application of rates) of the Aberdeen Harbour Act 1895 as amended by section 11 of the Order of 1939 shall be read and have effect as if in lieu of the application of the rates in the second place therein there were substituted the following:—

"In the second place in maintaining the port and harbour and defraying the ordinary expenditure of the Commissioners and making contributions to the scheme for superannuation and other retirement benefits for the officers and servants of the Commissioners and in defraying the expenses of managing controlling and administering such scheme".

(2) Section 11 of the Order of 1939 is hereby repealed.

Costs of Order.

12. All costs charges and expenses of and incidental to the preparing for obtaining and confirming of this Order and otherwise incurred in reference thereto shall be paid by the Commissioners.

SCHEDULE

SUPERANNUATION SCHEME RULES

ARRANGEMENT OF RULES

DEFINITIONS

1. In these Rules the following words and expressions have the following meanings respectively unless there be something in the subject or context repugnant to such construction :—

"Commissioners" means the Aberdeen Harbour Commissioners ;

"pension fund" means the superannuation fund established and maintained under the Aberdeen Harbour (Superannuation) Order 1939 as amended by the Aberdeen Harbour (Superannuation) Order 1957 and all moneys belonging thereto;

SCH. —*cont.*

"lump sum fund" means the lump sum fund established and maintained under the Aberdeen Harbour (Superannuation) Order 1957 and all moneys belonging thereto;

"Scheme" means the Scheme of the pension fund and the lump sum fund herein contained;

"Rules" means the Rules herein contained;

"member" means every officer and servant of the Commissioners within the meaning of Rule 3 hereof;

"financial year" means the year ending on the thirtieth day of September;

"actuary" means a fellow of the Institute of Actuaries or of the Faculty of Actuaries in Scotland.

DATE OF COMMENCEMENT OF SCHEME

2. The Scheme shall come into operation on the first day of October one thousand nine hundred and fifty-seven.

MEMBERS

3.—(1) Every salaried officer and every servant on the wages list in the permanent employment of the Commissioners (other than the chief constable of the city of Aberdeen or any other officer of the city of Aberdeen police force) to whom a direct payment for services is made by the Commissioners whether whole-time or part-time who has attained the age of eighteen years at the commencement of the Scheme and every salaried officer and every servant who enters the permanent employment of the Commissioners thereafter and who has attained the age of eighteen years shall be a member.

(2) Every member shall contribute to the pension fund an amount equal to five per centum of his salary or wages which amount shall be deducted from the salary or wages payable to him by the Commissioners and shall be carried to the credit and form part of the pension fund.

(3) A person over fifty-five years of age who enters the permanent employment of the Commissioners after the commencement of the Scheme shall not become a member.

(4) (*a*) In reckoning the salary or wages paid to each member there shall be taken into account the value of any other emolument which a member may receive as a condition of his service such as free house rates fire and light.

(*b*) Overtime shall not be taken into account in reckoning the salary or wages paid to each member.

PAYMENTS TO FUNDS

4.—(*a*) The Commissioners shall in each year carry to the credit of the pension fund the amounts deducted in such year under the provisions of these Rules from the salaries or wages of members.

(*b*) The Commissioners shall in each year contribute out of the revenues of their undertaking to the pension fund and to the lump sum fund respectively sums equal to fifty-five per centum and forty-five per centum of the total sum which during such year has been contributed to the pension fund by members in pursuance of paragraph (2) of Rule 3 hereof Provided that the apportionment between the pension fund and the lump sum fund of the total contribution by the Commissioners as aforesaid may be varied from time to time if so required by a certificate of the actuary. Sch. —*cont.*

(*c*) The Commissioners shall in each year carry to the credit of the pension fund and of the lump sum fund respectively all dividends and interest arising in such year out of the investment of the pension fund and of the lump sum fund or any part thereof respectively.

(*d*) The Commissioners shall in each year carry to the credit of the pension fund and of the lump sum fund such amounts (in these Rules together referred to as " the equal annual charge ") as may be certified by the actuary as soon as may be after the commencement of the Scheme as necessary in order that the pension fund and the lump sum fund may be solvent the total of such amounts being calculated so as to cast upon the Commissioners so far as may be an equal charge in each year over a period of not more than forty years from the commencement of the Scheme:

Provided—

(i) that the Commissioners may in any year in which they think it desirable carry to the credit of the pension fund or of the lump sum fund a sum greater than that certified by the Actuary as necessary to be paid into such fund over a period of not more than forty years to secure the solvency of such fund in which case the Commissioners shall forthwith obtain a new actuarial report as to the amount to be carried to the credit of such fund in subsequent years to secure the solvency of such fund ; and

(ii) that the proportion of the equal annual charge carried to the credit of the pension fund and of the lump sum fund may be varied from time to time on the determination of the actuary.

Resignation and Retiral

5.—(1) A member who after the commencement of the Scheme—

(*a*) becomes incapable of discharging his duties with efficiency by reason of permanent ill-health or infirmity of mind or body as may be certified by a registered medical practitioner nominated by the Commissioners ; or

(*b*) has attained the age of sixty years (provided he has completed forty years' service) ;

may resign or retire.

(2) When a member attains the age of sixty-five years he shall cease to hold his employment provided that the Commissioners may with his consent extend his service for one year or any less period and so from time to time as they deem expedient provided also that a contribution under Rule 3 or Rule 4 hereof shall not be made by the Commissioners or by the member to the pension fund or by the Commissioners to the lump sum fund in respect of any such extended period and any such extended period shall be disregarded in calculating any superannuation benefits.

(3) A member who resigns or retires in terms of this Rule shall on resignation or retirement if he has been in the permanent service

SCH. —*cont.* of the Commissioners for at least ten years be entitled to receive the superannuation benefits laid down in Rule 6 hereof.

SUPERANNUATION BENEFITS

6. The scale of the superannuation benefits payable under Rule 5 hereof shall be as follows (that is to say):—

(1) A member who has been in the permanent service of the Commissioners for at least ten years shall subject to the provisions of Rule 19 hereof be entitled on retiral for each year of contributing service as calculated in terms of Rule 21 hereof and pro rata for part of a year to—

(i) a lump sum equal to three-eightieths of his average yearly salary or wages during the three years ending on the day on which he ceases to hold office or employment or on the day on which he attains the age of sixty-five years whichever is the earlier; and

(ii) an annual allowance equal to one-eightieth of the average amount of his yearly salary or wages during such period.

In addition every member to whom a lump sum is payable under this Rule shall be entitled to an increase in the amount thereof equal to one-half per centum of such amount for each year of contributing service as calculated in terms of Rule 21 hereof before the date of commencement of the Scheme and proportionately for part of a year:

(2) An annual allowance shall not exceed one-half of the member's average remuneration:

(3) In determining the average amount of the yearly salary or wages for the purposes of this Rule of a member who has been absent from duty on reduced pay or without pay on account of ill-health or injury or otherwise with the consent of the Commissioners at any time during the period of three years with reference to which his average yearly salary or wages is calculated it shall be an assumption that the total salary or wages (excluding overtime) received by such member included such amounts as in the estimation of the Commissioners such member would but for such absence as aforesaid have received during such period or periods of absence.

EVIDENCE OF LIFE OF MEMBER

7. A person who is in receipt of an annual allowance under these Rules shall from time to time furnish to the Commissioners such evidence of his being still alive as the Commissioners may from time to time require and in default thereof the Commissioners shall be entitled in their discretion to suspend payment of the annual allowance.

ALLOWANCES AND PAYMENTS DUE TO MEMBER UNDER DISABILITY

8.—(1) When a member who has become entitled under these Rules to the benefits laid down in Rule 6 hereof is unable by reason of accident or bodily or mental infirmity to manage his affairs or to sign documents the Commissioners may from time to time pay the said benefits or part thereof to his wife or other person having charge of him or to the judicial factor on his estate or if the disabled member is in an institution may pay the said benefits or such part thereof as they think fit to that institution for his maintenance and in either such case may pay any balance to or for the support of the dependants of such disabled member or such of them as the Commissioners may determine and the Commissioners shall be discharged from all liability in respect of any sums so paid. SCH. —*cont.*

(2) Any sum payable to a minor under these Rules may be paid either to the minor or to such person and on such conditions for the benefit of the minor as the Commissioners may deem expedient and the receipt of the minor or such person shall be a good discharge to the Commissioners for the sum so paid.

MAXIMUM PERIOD OF SERVICE TO COUNT

9. The maximum period of service for contributing or non-contributing years or both as the case may be which shall count for superannuation under the Scheme is forty years.

RECKONING SERVICE IN CASE OF TRANSFER

10. Where an officer or servant transfers from the service of a local authority or statutory undertaking maintaining a superannuation fund to the permanent service of the Commissioners such officer or servant may for the purpose of causing the whole or part of his previous service with such local authority or statutory undertaking to be reckoned as service with the Commissioners pay into the pension fund a sum by way of transfer value and in the event of any such officer or servant making such payment as aforesaid so much of such previous service shall be reckoned as service with the Commissioners as is certified by the actuary after taking into account the additional liability in respect of such officer or servant to be represented by the amount of such sum paid by way of transfer value.

WAR AND NATIONAL SERVICE TO COUNT

11.—(1) In the case of a member who left the service of the Commissioners in order to serve in His Majesty's forces or the forces of the allied or associated powers during the First World War or in His Majesty's forces or the forces of the allied powers during the Second World War the period during which he so served shall be taken into account in reckoning his non-contributing service for the purpose of calculating his benefits under Rule 6 hereof provided that such service after the thirty-first day of December one thousand nine hundred and twenty or the thirty-first day of December one thousand nine hundred and forty-six respectively shall not be taken into account.

(2) This provision shall also apply in the case of an officer or servant who with the Commissioners' consent serves in the like forces in any future war in which Great Britain is involved or is engaged on full-time civil defence work or other work of national importance.

Sch. —*cont.*

(3) In the case of a member who leaves the service of the Commissioners in order to undertake national service or reservist training in Her Majesty's forces the period during which he is absent from the service of the Commissioners shall—

(*a*) if such member contributes to the pension fund under Rule 3 (2) hereof throughout the period of such absence be taken into account in reckoning his contributing service ; or

(*b*) if such member does not so contribute during such period be taken into account in reckoning his non-contributing service.

Effect of Resignation or Dismissal

12.—(1) A member who ceases to be employed by the Commissioners by reason of his voluntary resignation (except voluntary resignation in terms of paragraph (3) or of paragraph (4) of this Rule) or his resignation or dismissal in consequence of inefficiency shall be entitled to receive out of the pension fund a sum equal to the aggregate amount of his contributions to the pension fund but without interest.

(2) A member who is dismissed or otherwise ceases to hold office or employment under the Commissioners in consequence of an offence of a fraudulent character or of grave misconduct or of neglect of duty or who in the opinion of the Commissioners retires to avoid such dismissal shall forfeit all claim to any superannuation benefits provided that the Commissioners may return to him or to any of his dependants such part of his contributions to the pension fund as they may think fit but without interest.

(3) A member who ceases to be employed by the Commissioners by reason of his resignation or retiral under Rule 5 hereof shall not be entitled to any repayment of contributions unless he has been in the permanent service of the Commissioners for less than ten years (and therefore not entitled to the superannuation benefits laid down in Rule 6 hereof) in which event he shall be entitled to receive out of the pension fund a sum equal to the aggregate amount of his contributions to the pension fund together with three per centum compound interest thereon.

(4) A female member who ceases to be employed by the Commissoners by reason of her voluntary resignation on marriage shall be entitled to receive out of the pension fund a sum equal to the aggregate amount of her contributions to the pension fund together with three per centum compound interest thereon.

(5) A member who ceases to be employed by the Commissioners for any reason other than his voluntary resignation or his resignation or dismissal in consequence of an offence of a fraudulent character or in consequence of his misconduct or inefficiency shall be entitled to receive out of the pension fund a sum equal to the aggregate amount of his contributions to the pension fund together with three per centum compound interest thereon.

(6) For the purposes of this Rule the expression "contributions" does not include any additional contribution made by a member under Rule 15 hereof.

SCH. —*cont.*

RENEWAL OF SERVICE

13. In the case of a member who having ceased to be employed by the Commissioners re-enters the permanent service of the Commissioners the former period of service of such member with the Commissioners shall be disregarded for superannuation purposes unless the member pays into the pension fund at the time of his re-entry such amount as may be certified by the actuary as necessary to meet the additional liability in respect of such former period of service or part thereof in which case there shall be reckoned for superannuation purposes the period of service represented by the amount so paid.

EFFECT OF DEATH

14.—(1) If a member dies before becoming entitled to superannuation benefits his legal personal representative shall be entitled to receive out of the pension fund the aggregate amount of his contributions (other than additional contributions made under Rule 15 hereof) to the pension fund together with compound interest at the rate of three per centum.

(2) A member who has become entitled to an annual allowance shall be paid the same by the Commissioners from the date of his retiral until the date of his death and if such member dies within five years from the date of his retiral the Commissioners shall continue to pay the amount of his annual allowance to his widow or to the legal personal representative of such member until the expiry of such period of five years.

SPECIAL DEATH BENEFIT

15.—(1) Every member of the superannuation fund immediately before the date of commencement of the Scheme who within three months thereof gives to the Commissioners notice in writing that he wishes to come within the operation of this Rule and every officer or servant of the Commissioners who becomes a member of the Scheme after such date of commencement shall in addition to the amount which he is required in terms of Rule 3 hereof to contribute to the pension fund contribute to the pension fund in each year of service (except as provided in paragraph (4) of this Rule) an amount (hereinafter called "an additional contribution") equal to one-half per centum of his salary or wages which amount shall be deducted from the said salary or wages payable to him by the Commissioners and will not be returnable to the member or his legal personal representative upon the resignation retiral or death of such member but will remain in the pension fund.

(2) The Commissioners shall in respect of each member to whom this Rule applies contribute to the pension fund in each year out of the revenues of their undertaking an amount equal to the additional contribution paid by such member.

(3) In the event of the death before retirement of a member to whom this Rule applies there shall be paid to his widow or legal personal representative an amount equal to one year's salary or wages at the date of his death (hereinafter referred to as "the special death benefit").

(4) The additional contribution and the special death benefit shall not apply during periods of service referred to in Rule 11 hereof unless the Commissioners otherwise decide.

Sch. —*cont.*

Time of Payment of Allowances

16. Annual allowances shall be paid by the Commissioners to the members entitled thereto at the end of each week or month as the Commissioners may determine.

Benefits not Assignable

17. (*a*) The annual allowances or other benefits payable under the Rules are not assignable and shall be forfeited in the event of the bankruptcy of the beneficiary or upon the execution of an assignation or trust deed for the benefit of his creditors or of any attempt to assign the same to any person.

(*b*) In any of those events and whether or not the annual allowances or other benefits have become payable the Commissioners shall have power in their absolute discretion to apply the forfeited allowance or benefits or any part thereof for the maintenance of the beneficiary or any one or more of his dependent relatives.

Evidence of Date of Birth

18. Before an officer or servant of the Commissioners shall be qualified to be a member he shall satisfy the Commissioners as to his age by production of either a certificate of birth or such other evidence as may be satisfactory to the Commissioners.

Consequence of Reduction of Wages

19. A member who is reduced in status and wages (not being a general reduction in wages applied to a class of employees) shall be entitled if he so elects to continue to contribute to the pension fund a like amount (including any additional contribution payable under Rule 15 hereof) as if his remuneration had not been reduced and the Commissioners shall contribute an amount equal to the member's contribution to be allocated between the pension fund and the lump sum fund as provided in Rule 6 hereof and in determining his allowance the member shall be deemed to have received the remuneration which he would have received but for the reduction.

Contributions while off work temporarily

20.—(1) If a member is off work owing to ill-health or injury the period during which he is absent shall be reckoned as contributing service if in respect of that period such member pays to the pension fund within six months of returning to work (or upon retiral in the case of a member who retires instead of returning to work) the contributions due by him under Rule 3 (2) hereof but in the event of such contributions not being paid by such member in respect of the period of absence such period shall be reckoned as non-contributing service.

(2) The additional contribution due under Rule 15 (1) hereof shall continue to be paid by a member in respect of any such period of absence.

(3) Where any such period of absence includes a period during which a member was on reduced pay or without pay the contributions shall be calculated on the total salary or wage (excluding overtime) which in the estimation of the Commissioners such member would but for such absence as aforesaid have received.

SCH. —*cont.*

CALCULATION OF SERVICE

21.—(1) A member's total service shall be calculated by aggregating all periods of permanent service with the Commissioners.

(2) A member's contributing service shall be calculated by aggregating all periods of such service.

(3) A member's non-contributing service shall be calculated by deducting from his total service the period of his contributing service.

(4) In calculating the length of a member's contributing service for the purposes of Rule 6 hereof each four years of non-contributing service shall be reckoned as three years of contributing service and pro rata for shorter periods.

(5) In calculating service fractions of a month shall be disregarded.

ALLOCATION OF PART OF SUPERANNUATION BENEFIT TO WIFE

22.—(1) Subject to such rules and conditions as to proof of good health and such other matters as the Commissioners may from time to time lay down and as to the Commissioners may seem expedient a member who becomes entitled to the benefits laid down in Rule 6 hereof on his ceasing to hold his office or employment otherwise than by reason of ill-health may be allowed to surrender as from the date on which he so ceases such part of his annual allowance not exceeding one-third thereof to enable the Commissioners to grant to the wife of the member a pension of such value as according to tables prepared from time to time by the actuary under the Scheme is actuarially equivalent at the said date to the value of that part of the allowance which is surrendered.

(2) Any such pension shall be payable in respect of the period if any for which the wife survives the member.

POWERS TO RECOVER CONTRIBUTIONS

23. The Commissioners may recover any contributions payable by a member in any court of competent jurisdiction or may deduct any sum remaining due on account thereof from any claim by way of superannuation benefits.

MEMBERS PERMANENTLY INCAPACITATED BY INJURY

24.—(1) If a member who has not attained the age of compulsory retirement applicable in his case ceases to be employed by the Commissioners in consequence of his being permanently incapacitated by an injury sustained by him in the actual discharge of his duty and without his own default and specifically attributable to the nature of his duty the Commissioners may grant to him subject to such conditions as they think fit such a gratuity by way either of a lump sum or of periodical payments as they consider reasonable having regard to all circumstances of the case including any statutory right to compensation or to an annual allowance in terms of Rule 6 hereof provided that in the case of a gratuity granted by way of periodical payments the Commissioners shall not in any year pay to the member in respect of the gratuity any greater sum than would together with any statutory compensation or such annual allowance receivable in that year be equal to the amount of any annual allowance which might have been granted to him on his attaining the age of sixty-five years if he had continued to be an employee of the

Sch. —*cont.* Commissioners until he attained that age and had continued to be remunerated at the same rate as immediately before the date of his injury.

(2) A gratuity granted under this Rule shall not be paid out of the pension fund or the lump sum fund.

General

25.—(1) Nothing in these Rules shall prevent the Commissioners from increasing the annual allowance payable under the Scheme or granting a gratuity to any officer or servant employed by them provided that such increase or gratuity shall not be chargeable on the pension fund or the lump sum fund.

(2) Nothing in these Rules shall affect the right of the Commissioners to dismiss a member from their employment or to reduce him to any lower rank or lower pay.

Administration

26. The pension fund and the lump sum fund shall be administered by the Commissioners at their expense and the accounts thereof shall be kept by their treasurer and audited and authenticated by the auditor of the Commissioners at the end of each financial year and an abstract thereof authenticated by the auditor circulated among the Commissioners and the accounts shall at all reasonable times be open to inspection by the members.

Actuarial Investigation

27. (*a*) An actuary to be appointed by the Commissioners shall at least once in every five years examine and report on the condition of the pension fund and the lump sum fund.

(*b*) Where the actuary certifies a deficit in either of such funds the Commissioners shall in such manner as they may determine make good the deficiency by increasing the equal annual charge in respect of such fund and where the actuary certifies a disposable surplus in either of such funds the Commissioners may dispose thereof either by reducing such equal annual charge or by reducing the amount payable to such fund under Rule 4 (*b*) hereof as in the discretion of the Commissioners may seem advisable provided that if the amount payable to such fund under Rule 4 (*b*) hereof is so reduced the member's contribution shall at the same time be reduced by the like amount.

Arbitration

28. Any question arising between the Commissioners and any member or his widow or his legal personal representative regarding the amount of any payment in virtue of these Rules or any question arising thereanent shall (failing agreement) be determined by an arbiter to be mutually agreed upon or (failing agreement) to be nominated in terms of the Arbitration (Scotland) Act 1894.

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